

because the increased transparency would threaten their sense of authority. Powers had no such concerns. CEO Andy Rachleff then began a series of conversations with other professional investment managers and brought the results back to the company. His insights were as follows:

1. Successful professional money managers felt they had nothing to fear from transparency, since they believed it would validate their skills.
2. Money managers faced significant challenges in managing and scaling their own businesses. They were hampered by the difficulty of servicing their own accounts and therefore had to require high minimum investments as a way to screen new clients.

The second problem was so severe that Wealthfront was fielding cold calls from professional managers asking out of the blue to join the platform. These were classic early adopters who had the vision to see past the current product to something they could use to achieve a competitive advantage.

The second critical qualitative information came out of conversations with consumers. It turned out that they found the blending of virtual and real portfolio management on the kaChing website confusing. Far from being a clever way of acquiring customers, the freemium strategy was getting in the way by promoting confusion about the company's positioning.

This data informed the pivot or persevere meeting. With everyone present, the team debated what to do with its future. The current strategy wasn't working, but many employees were nervous about abandoning the online game. After all, it was an important part of what they had signed on to build. They had invested significant time and energy building and supporting those customers. It was painful—as it always is—to realize that that energy had been wasted.

Wealthfront decided it could not persevere as it existed. The company chose instead to celebrate what it had learned. If it had